

2. Early Payoff & Payoff Quote Policy

2.1 Purpose

The Early Payoff & Payoff Quote Policy defines the rules and procedures for providing accurate loan payoff amounts to customers seeking to fully satisfy their retail installment contracts prior to maturity.

2.2 Scope

This policy applies to:

- Retail auto loans only (excludes leases unless purchased)
 - All payoff quotes delivered via phone, digital channels, or mail
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2.3 Definitions

- **Payoff Amount:** Total amount required to satisfy the loan as of a specific date
 - **Per Diem Interest:** Daily interest accrued between payments
 - **Payoff Quote Validity:** Time period for which a quote remains accurate
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2.4 Payoff Calculation Components

A payoff quote includes:

- Outstanding principal balance
 - Accrued interest through payoff date
 - Applicable fees (late fees, unpaid charges)
 - State-specific adjustments (if applicable)
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2.5 Quote Validity Period

- Payoff quotes are valid for a defined period (e.g., 7–10 calendar days)
 - Quotes expire after validity period due to ongoing interest accrual
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2.6 Delivery Channels

Payoff quotes may be provided through:

- Customer service representatives
- Online customer portal
- Written requests via mail or secure messaging

All quotes must include disclaimers regarding validity and per diem interest.

2.7 Early Payoff Processing

- Payments received exceeding the payoff amount are refunded per policy
 - Title or lien release is initiated after funds clear
 - Processing timelines vary by state regulations
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2.8 Compliance & Disclosures

- Customers must be informed that interest accrues daily
- No prepayment penalties are assessed unless contractually specified
- All payoff communications must be documented
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